

CUSTOMER SEGMENTATION ANALYSIS

KEY INSIGHTS:

- K-Means clustering effectively grouped customers into four meaningful segments, reducing customer diversity into manageable categories for analysis.
- Income and Purchase Amount emerged as the most influential factors in differentiating customer segments.
- High-income customers showed significantly higher purchase amounts and purchase frequencies, indicating strong customer lifetime value.
- Low-income customers exhibited lower spending patterns, suggesting greater sensitivity to pricing and promotional offers.
- The scatter plot analysis revealed clear cluster separation, validating the effectiveness of the segmentation process.
- Segment-wise revenue analysis showed that a small percentage of customers generated a large share of total revenue, highlighting the importance of high-value customers.

- Customer behavior patterns varied significantly across clusters, proving that a one-size-fits-all marketing strategy may not be effective.
- The Power BI dashboard provided actionable insights, helping stakeholders understand customer behavior, segment performance, and business opportunities more effectively.